At around the same time, the USA President Ronald Reagan, elected with a huge margin on 4 November 1980, decided to give Pakistan substantial military assistance. Although the ISI's original demand was to the tune of $4 billion, Reagan agreed to $2.6 billion worth of arms for the Afghan mujahideen. This provoked the Soviet Union. The Soviet ambassador protested to Pakistan's foreign minister Agha Shahi about the use of Pakistani territory in the supply of arms to the Afghan rebels and warned him that should this happen, Afghanistan and its friends would take appropriate measures.

The USA knew about Indian activities in Afghanistan and used the media to launch propaganda against the Indian intelligence agency. Reports about internal strife in the R&AW appeared in Washington. Pakistan too launched its propaganda machinery and two pre-recorded cassettes containing satirical references to Indira Gandhi were circulated within Pakistan and exported to other countries, particularly in the Middle East. These audio tapes were recorded by Shalimar Recording Company Limited, Islamabad, which was a government owned entity. Mirza, who was fighting the mujahideen, warned India that the USA would never stop supplying arms to Pakistan and the Indian government must initiate a dialogue with the US on the matter. A report prepared by the diplomats in the Ministry of External Affairs (MEA) in early 1981 said the Indian government had not been consulted by the US on the arms sales to Pakistan and indications were very clear that the Americans would not allow India's opposition to control the amount and type of military assistance flowing to Pakistan. The note said:

In our meeting with US officials, we have stressed the need for defusing the situation in order to avoid great power confrontation. While indicating that we were in favour of the